

Organisation

Advanced Microeconomics 1: Economic Decision Making. Lecture 0

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Hi

- Hi :)
- Me: Luke, email: luke.heathmilsom@kuleuven.be
- The course: Advanced Microeconomics 1, part 1: Economic Decision Making

The plan

- 6 weeks; we meet twice for 2 hours each time a week
- 8×2 hour lectures
- $3 \times$ exercise classes

This course

1. Decisions of individuals: L1, L2, L3, and, L4
2. Decisions of firms: L5 and L6
3. Decisions under uncertainty: L7 and L8

https://lmilsom.github.io/advmico1_decisions/micro1_site/

Course policies

- Before lectures, you must complete the bolded readings.
- Before exercise classes, you must complete the problem sets.
- Lectures will be recorded and uploaded the day after. Classes will not be recorded.
- Office hours are by appointment; email me :).
- Assessment is 100% closed-book exam joint with the other half of the course.

Questions?

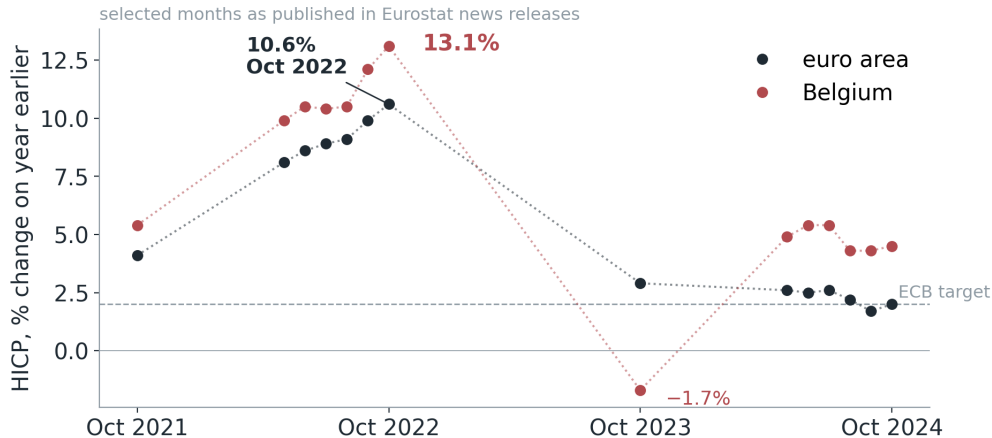
Our question

We will use the tools developed in the course to answer a real-life, policy-relevant question.

The formal tools we develop in this course tell us...

- what we can learn from the data under exactly what assumptions
- how to test the assumptions
- what breaks if the assumptions fail

The setting: There has been a lot of inflation



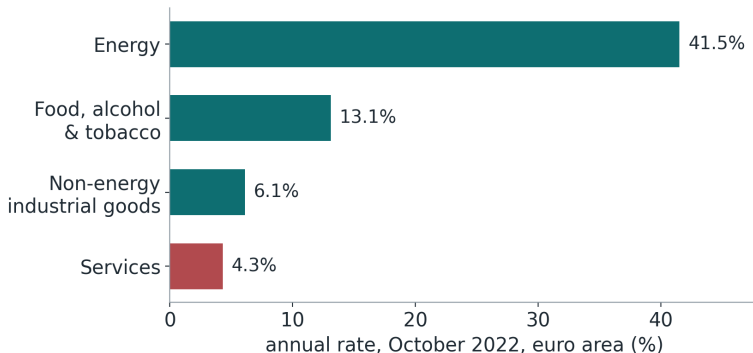
Source: Eurostat (prc_hicp_manr), news releases 130/2022 (17 Nov 2022) and 19 Nov 2024.

One country, one number

October 2022, Belgium: inflation 13.1% — the highest in thirty years.

- One number, for eleven million people.
- By law, that one number matters enormously here: Belgian wages, pensions and benefits are **automatically indexed** to a price index.
- So the one number is not just a price increase, it is also a transfer. If it is wrong for you, you are over- or under-compensated.

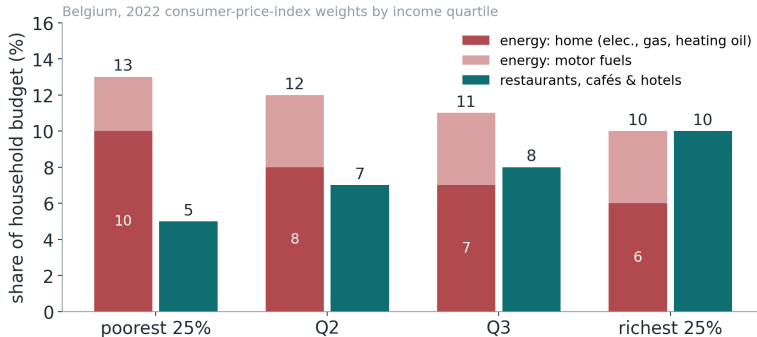
But prices did not rise together



Source: Eurostat (prc_hicp_manr), news release 130/2022, 17 Nov 2022.

Energy nearly $\times 10$ faster than services. In Belgium over 2022: gas +109%, electricity +57% (NBB). “Inflation” was not one price change.

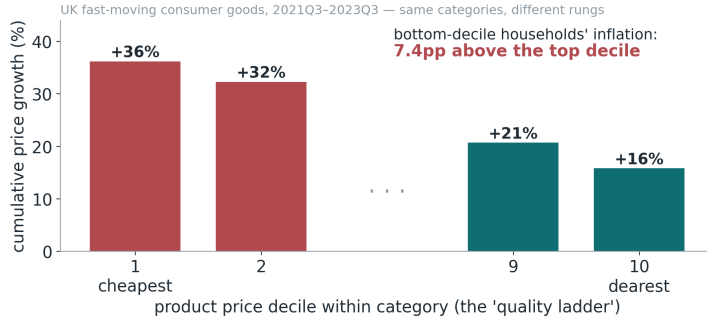
And budgets are not the same



Source: NBB Annual Report 2022, Table 3.2 (Statbel, Household Budget Survey; NBB calculations).

Channel one: the categories that exploded weigh most where budgets are tightest.

Within categories, it was worse: cheapflation



Source: Chen, Levell & O'Connell (2025), IFS Working Paper 25/21, Fig. 2.1 and §1 (Kantar Take Home Purchase Panel).

The price of cheap variants rose nearly twice as fast as premium ones, *inside the same categories*. Over half of UK inflation dispersion was *within* categories (Chen, Levell & O'Connell 2025).

So: whose inflation was 13.1%?

- If price changes differ across goods, and budgets differ across households, then households faced different inflation rates.
- This is measured. Jaravel (QJE 2019; Annual Review 2021): in US scanner data, lower-income households' inflation runs persistently higher — on the order of half a percentage point *per year*, compounding. Argente & Lee (JEEA 2021): the gap widens sharply in crises.
- 2022 was the crisis pattern at maximum volume: an energy shock is close to a targeted tax on small budgets.

Our questions

1. Who did the 2022 price shock (inflation) hurt, and by how much?
2. Is automatic wage indexation an effective policy for mitigating these impacts?

What do you think?